

Central planning



With the advent of communism, economic thinkers began comparing the workings of socialist and market-based systems. A long-standing tenet of economics was that market prices lead to an efficient allocation of resources: if lots of people want bicycles, the price of bicycles will rise, encouraging more production. In socialist systems, central planners decide what should be produced. Some argued that they, too, would be able to bring about an efficient allocation of goods, essentially replicating what markets do while reducing their inequities. The Austrian economist, Ludwig von Mises denied this possibility – only through interplay of supply and demand in markets could prices emerge reflecting society's true valuation of different goods. The sheer complexity of economies with thousands of different goods and services would be too much for any central planner, he argued, and the result would be large inefficiencies

and errors in matching what people wanted with what was produced. This was certainly one of the problems that the communist states eventually ran into.